

# Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

June 2015

**Latitude**



*Innovative Business Support & Promotion*



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## 2 Imports

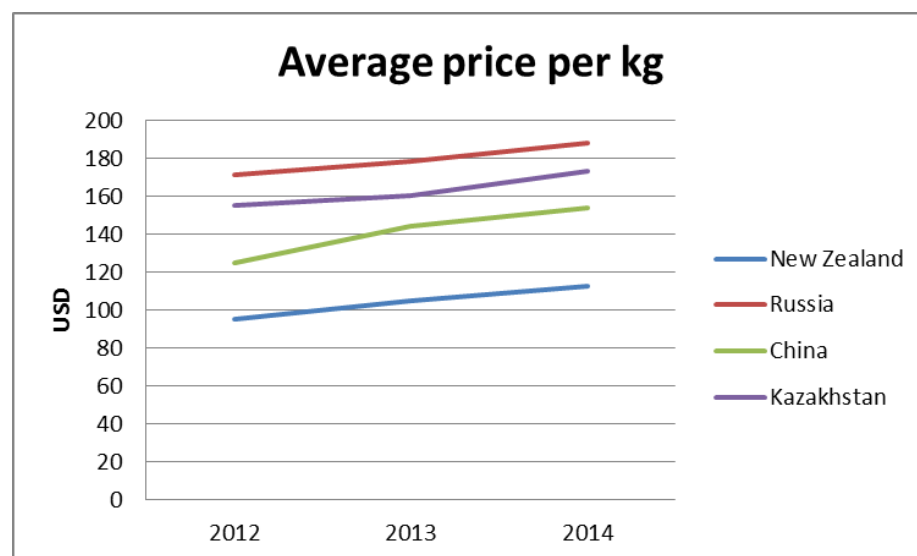
### 2.1 Velvet Imports

#### 2.1.1 Young Antlers, Whole HS No. 0507.90.1110

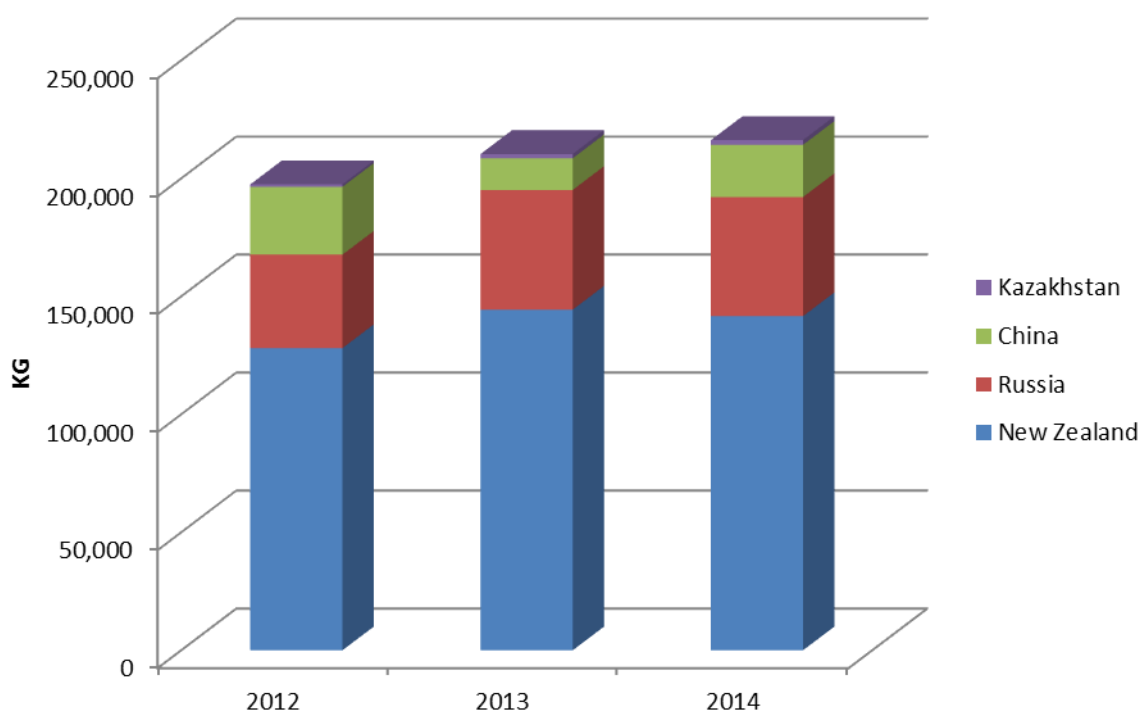
Import statistics for Whole Antler HS code 0507901110

| Rank | Country             | 2012          |                |               | 2013          |                |               | 2014          |                |               | 2015 (Apr)   |               |               |
|------|---------------------|---------------|----------------|---------------|---------------|----------------|---------------|---------------|----------------|---------------|--------------|---------------|---------------|
|      |                     | Value         | Weight         | \$/kg         | Value         | Weight         | \$/kg         | Value         | Weight         | \$/kg         | Value        | Weight        | \$/kg         |
|      | <b>Total sum</b>    | <b>22,779</b> | <b>197,907</b> | <b>115.10</b> | <b>26,441</b> | <b>210,317</b> | <b>125.72</b> | <b>29,229</b> | <b>216,214</b> | <b>135.19</b> | <b>7,652</b> | <b>68,791</b> | <b>111.24</b> |
| 1    | New Zealand         | 12,176        | 128,048        | 95.09         | 15,167        | 144,391        | 105.04        | 15,990        | 141,628        | 112.90        | 6,526        | 62,616        | 104.22        |
| 2    | Russia              | 6,801         | 39,615         | 171.68        | 9,052         | 50,712         | 178.50        | 9,481         | 50,459         | 187.90        | 609          | 3,075         | 198.05        |
| 3    | China               | 3,584         | 28,731         | 124.74        | 1,936         | 13,427         | 144.19        | 3,413         | 22,135         | 154.19        | 516          | 3,100         | 166.45        |
| 4    | Kazakhstan          | 165           | 1,063          | 155.22        | 286           | 1,786          | 160.13        | 344           | 1,986          | 173.21        | 0            | 0             | -             |
| 5    | Australia           | 54            | 450            | 120.00        | 0             | 1              | 0.00          | 1             | 6              | 166.67        | 0            | 0             | -             |
|      | <b>NZ Share (%)</b> | <b>53.45</b>  | <b>64.70</b>   |               | <b>57.36</b>  | <b>68.65</b>   |               | <b>54.71</b>  | <b>65.50</b>   |               | <b>85.28</b> | <b>91.02</b>  |               |

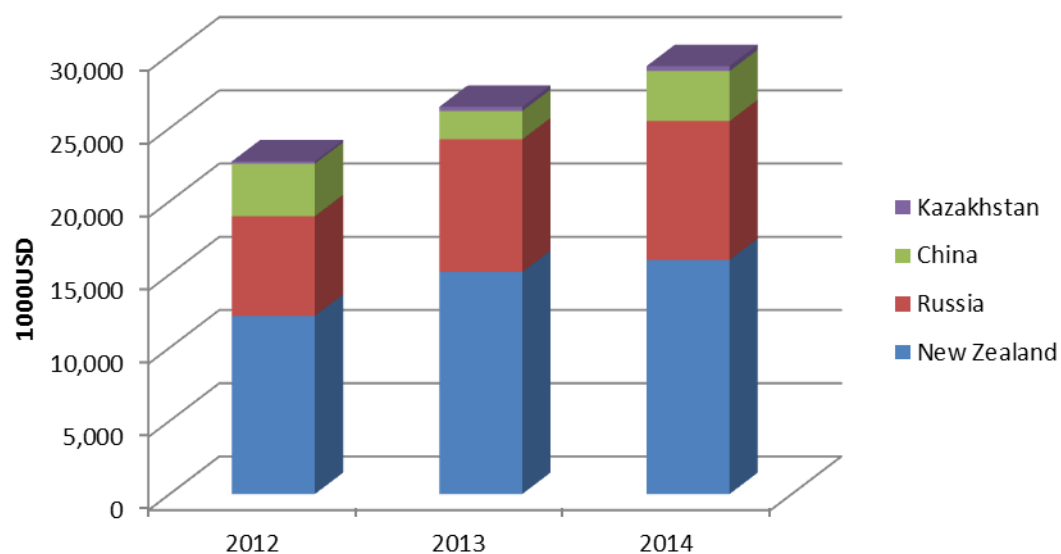
Value = USD 1,000, Weight = kg



### Whole velvet imports by volume



### Whole velvet imports by value



### 2.1.2 Young Antlers, Other HS No. 0507.90.1190

Import statistics for young Antler, Other HS code 0507901190

| Rank | Country             | 2012         |              |              | 2013         |              |              | 2014         |              |            | 2015 (Apr)   |              |                 |
|------|---------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|------------|--------------|--------------|-----------------|
|      |                     | Value        | Weight       | \$/kg        | Value        | Weight       | \$/kg        | Value        | Weight       | \$/kg      | Value        | Weight       | \$/kg           |
|      | <b>Total sum</b>    | <b>81</b>    | <b>77</b>    | <b>1,052</b> | <b>80</b>    | <b>59</b>    | <b>1,356</b> | <b>75</b>    | <b>82</b>    | <b>915</b> | <b>22</b>    | <b>18</b>    | <b>1,222.22</b> |
| 1    | New Zealand         | 52           | 28           | 1,857        | 55           | 32           | 1,719        | 44           | 10           | 4,400      | 12           | 5            | 1,000           |
| 2    | Australia           | 29           | 49           | 592          | 25           | 27           | 926          | 30           | 72           | 417        | 10           | 12           | 400             |
|      | <b>NZ Share (%)</b> | <b>64.20</b> | <b>36.36</b> |              | <b>68.75</b> | <b>54.24</b> |              | <b>58.67</b> | <b>12.20</b> |            | <b>54.55</b> | <b>27.78</b> |                 |

Value = USD 1,000, Weight = kg

## 2.2 Quarantine Statistics of Deer Velvet from Major Exporters

### 2.2.1 Rolling year

| COUNTRY              | JUN 13 - MAY 14   |                 | JUN 14 - MAY 15   |                 |
|----------------------|-------------------|-----------------|-------------------|-----------------|
|                      | DRIED VELVET (KG) | RAW VELVET (KG) | DRIED VELVET (KG) | RAW VELVET (KG) |
| <b>New Zealand</b>   | <b>22,459</b>     | <b>64,137</b>   | <b>13,764</b>     | <b>74,992</b>   |
| China                | 62,430            | 13              | 73,071            | 4               |
| Russia               | 37,523            | 1               | 34,251            | -               |
| Hong Kong            | 17,009            | -               | 17,055            | -               |
| Singapore            | 2,241             | -               | -                 | -               |
| Kazakhstan           | 1,785             | -               | 1,986             | -               |
| Australia            | 51                | 9               | 53                | 24              |
| USA.                 | 28                |                 | 23                | 1               |
| Thailand             | -                 | 23              | -                 | -               |
| Others               | 16                | 1               | 18.4              | 3               |
| <b>Total</b>         | <b>143,543</b>    | <b>64,184</b>   | <b>140,220</b>    | <b>75,024</b>   |
| <b>Overall Total</b> | <b>207,727</b>    |                 | <b>215,244</b>    |                 |

### 2.2.2 Full year

These include hand-carried velvet by tourists. The countries are not country of origin but export

| COUNTRY            | JAN 13 - DEC 13   |                 | JAN 14 - DEC 14   |                 |
|--------------------|-------------------|-----------------|-------------------|-----------------|
|                    | DRIED VELVET (KG) | RAW VELVET (KG) | DRIED VELVET (KG) | RAW VELVET (KG) |
| <b>New Zealand</b> | <b>24,152</b>     | <b>74,725</b>   | <b>14,294</b>     | <b>74,298</b>   |
| China              | 54,942            | 10              | 78,296            | 5               |
| Russia             | 43,140            | 1               | 34,369            | -               |
| Hong Kong          | 11,322            | -               | 20,976            | -               |
| Singapore          | -                 | -               | 2,241             | -               |

|                      |                |               |                |               |
|----------------------|----------------|---------------|----------------|---------------|
| Kazakhstan           | 1,785          | -             | 1,986          | -             |
| Australia            | 56             | 6             | 55             | 17            |
| USA.                 | 20             | -             | 30             | 1             |
| Thailand             | -              | 23            | -              | -             |
| Others               | 12             | 1             | 17             | 3             |
| <b>Total</b>         | <b>135,436</b> | <b>74,767</b> | <b>152,264</b> | <b>74,324</b> |
| <b>Overall Total</b> | <b>210,203</b> |               | <b>226,587</b> |               |

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

### 2.2.3 Quarantine Fail

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

Sanitary = Sanitary condition violation

| COUNTRY              | JAN 13 - DEC 13                                               |                                    | JAN 15 - MAY 15                       |                      |
|----------------------|---------------------------------------------------------------|------------------------------------|---------------------------------------|----------------------|
|                      | DRIED VELVET (KG)                                             | RAW VELVET (KG)                    | DRIED VELVET (KG)                     | RAW VELVET (KG)      |
| <b>New Zealand</b>   | <b>No COQ<br/>8.3</b>                                         | <b>Sanitary<br/>1,600.0</b>        | -                                     | -                    |
| China                | No COQ<br>129.6 Drying<br>defect 1.4<br>Banned origin<br>46.2 | Banned origin<br>4.0 No COQ<br>1.2 | No COQ<br>60.4                        | Banned origin<br>1.4 |
| USA.                 | Banned origin<br>29.7                                         | Banned origin<br>0.8               | No COQ<br>0.6<br>Banned origin<br>5.2 | -                    |
| Canada               | Banned origin<br>4.8                                          | Banned origin<br>0.4               | Banned origin<br>1.2                  | Banned origin<br>0.8 |
| Japan                | Banned origin<br>1.2                                          | Banned origin<br>2.6               | Banned origin<br>0.2                  | -                    |
| Russia               | -                                                             | -                                  | No COQ<br>2.1                         | -                    |
| Others               | Drying defect<br>0.1                                          | -                                  | Banned origin<br>2.0                  | 1.7                  |
| <b>Total</b>         | <b>221.3</b>                                                  | <b>1,608.9</b>                     | <b>71.8</b>                           | <b>4.0</b>           |
| <b>Overall Total</b> | <b>1,830.1</b>                                                |                                    | <b>75.8</b>                           |                      |

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

### **3 Korean news**

#### **3.1 KDBA requests government funding to improve semen quality for artificial insemination.**

KDBA requests 1 billion won in government funding to support efforts to improve semen quality for artificial insemination programmes. In the face ongoing or completed FTA negotiations with velvet powerhouses New Zealand, Russia and China, increasing the competitiveness of Korean velvet has become an urgent issue.

*The Korea Deer Times, March 31<sup>st</sup> 2015*

#### **3.2 First issue of the Korea Deer Velvet Society Journal**

The first issue of the Korea Deer Velvet Society Journal has been released. It is hoped that the publication will become a foundation in the area of velvet research in Korea, contributing to a stronger velvet industry.

The Chairman of the Society, Byeong-Tae Jeon, stated that “over the last 10 years the production levels of velvet have increased two-fold , and Korea has shown a stronger increase in consumption than both China and Japan. However, in comparison to increases in production and consumption, the international competitiveness of the Korea deer velvet industry is relatively weak. In order to remedy this, there must to be increases in quality, accompanied by reductions in production costs.” Chairman Jeon added that “it is of the utmost importance that research showing the effects of velvet on anti-aging, liver health, blood pressure reduction, strengthened immune system, fatigue relief etc are effectively communicated, and the Korea Deer Velvet Society plans to lead the way in this area.

*The Korea Deer Times, March 31<sup>st</sup> 2015*

#### **3.3 Korean, Canadian elk breeders working to improve trade**

The president of the Korea Deer Breeders Association recently visited Canada to demonstrate the growing good will between the two countries. Alberta Elk Commission chair Connie Seutter met Chung during a recent trade mission to South Korea, where they forged a memorandum of understanding between the Canadian and Korean elk industries. The two organizations have yet to sign the memorandum, but they have agreed to exchange technology, best farm practices, research and development of unique technologies and semen to improve genetics. The memorandum also included working with both

governments to reopen markets to elk velvet antler, processed antler and a live animal and meat export.

*The Western Producer, April 6<sup>th</sup> 2015<sup>1</sup>*

### **3.4 Growing popularity of KGC's new Cheon Nok Sam product**

- Although the price is high at 450,000 won, the product is proving popular among 40~50 somethings who are looking to increase their vitality.
- Sales continue to grow, with a consumer base of Chinese tourists shopping at duty free stores.
- Over 6,000 sets have been sold in the first four months of release.
- Analysis of existing consumers shows that around 90% are over 50 years of age.
- KGC is holding special VIP tasting events at a small number of Hyundai Department Stores, and giving away two small tester bottles of Cheon Nok Sam worth 80,000 won with every purchase.

*Seoul Economy, May 7<sup>th</sup> 2015<sup>2</sup>*

### **3.5 Chunho Foods launches television commercial for Deer Velvet and Red Ginseng product**

Chunho Foods has launched a television commercial promoting its Deer Velvet and Red Ginseng product. The commercial notes that Korean people generally believe deer velvet to be something that is expensive, but that this is not the case with Chunho's product. It also emphasises that Chunho's product is made from the best parts of the deer velvet, and that 82,500mg of deer velvet are in each pouch.

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<sup>1</sup> <http://www.producer.com/daily/korean-canadian-elk-breeders-working-to-improve-trade/>

<sup>2</sup> <http://economy.hankooki.com/lpage/entv/201505/e2015050701020894210.htm>

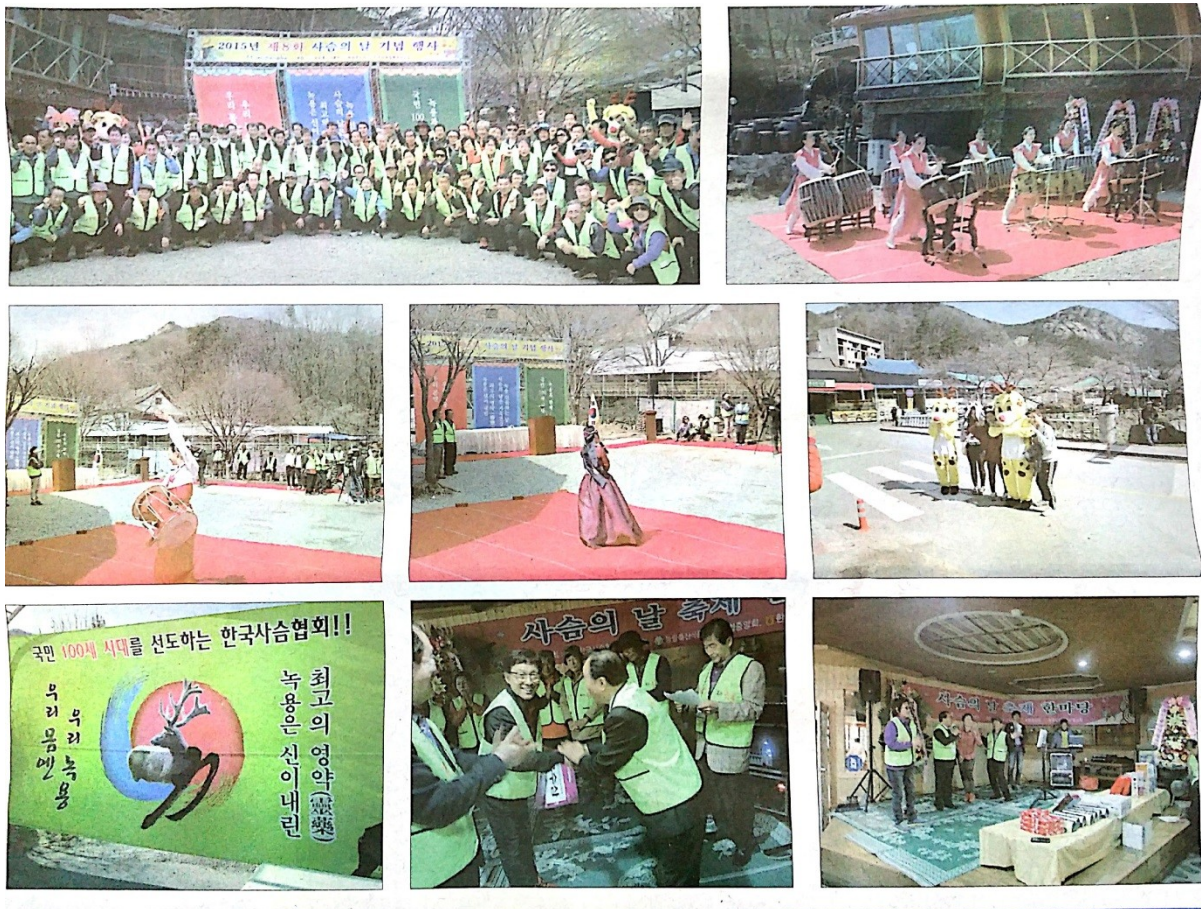


Aju Business Daily, May 8<sup>th</sup> 2015<sup>3</sup>

### 3.6 KDEFA - 2015 Deer Day

- Below are some images of the 2015 Deer Day (April 3<sup>rd</sup>) event held in Chungnam. Around 200 deer farmers were in attendance at the eighth annual event.
- A small traditional concert was held along with tastings of deer velvet products.

<sup>3</sup> <http://www.ajunews.com/view/20150508154041002>



*The Korea Deer Times, May 14<sup>th</sup> 2015<sup>4</sup>*

### 3.7 Cheongju City commits funding to support local deer velvet industry

- As new FTAs and international trade deals mean the potential for a further loss of competitiveness by the local deer industry is high, Cheongju City has committed to support the industry with 6.6 billion won in funding over a five year period.
- Cheongju tagged the deer industry as a vital part of its agriculture and livestock industry in 2013, and accordingly has chosen to make this significant investment.
- The funds will be invested in the construction of a deer velvet product factory, establishment of innovative systems and networks, and supporting the development of a brand for manufactured deer velvet products.
- Korea's first high pressure concentrate production facilities will be introduced, expanding the possibilities of velvet products for local deer farmers. The facilities will receive HACCP and KGMP certification.

<sup>4</sup> [http://www.nongmin.com/article/ar\\_detail.htm?ar\\_id=249609&subMenu=articletotal](http://www.nongmin.com/article/ar_detail.htm?ar_id=249609&subMenu=articletotal)

*Aju Business Daily, May 31<sup>st</sup> 2015<sup>5</sup>*

### **3.8 KDBA: Deer velvet promotional television documentary to be screened in June**

- The KDBA plans to screen a television documentary in early June, promoting the benefits of Korean deer velvet to consumers.
- 100 million won has been invested in the documentary.
- The documentary will show the production process of local deer velvet, its medicinal effects, and comparison with deer velvet from other countries (esp Russia) to show to consumers the superior quality of Korean deer velvet.

*The Korea Deer Times, June 8<sup>th</sup> 2015*

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<sup>5</sup> <http://www.ajunews.com/view/20150529080703446>